👥 Users of Accounting Information

📌 Introduction

Every business records financial transactions and prepares financial statements such as the Trading Account, Profit and Loss Account, and Balance Sheet. However, these statements are not prepared only for the business owner. They are prepared to provide useful information to various individuals and organizations who have an interest in the financial performance and financial position of the business.

These individuals or organizations are called **Users of Accounting Information**.

📖 Meaning

Meaning

Users of accounting information are the individuals, groups, or organizations that use accounting reports and financial statements to make economic and business decisions.

Definition

Users of accounting information are persons or organizations who use financial statements to evaluate the financial performance, financial position, profitability, and future prospects of a business.

🎯 Objectives of Accounting Information for Users

Accounting information helps users to:

- Know whether the business is earning profit or suffering loss.
- Evaluate the financial position of the business.
- Make investment decisions.
- Decide whether to provide loans.
- Assess business performance.
- Calculate taxes.
- Plan future business activities.

- Ensure legal compliance.

📁 Classification of Users

Users of accounting information are classified into two categories:

🔹 Internal Users 🔸 External Users

🏢 1. Internal Users

Meaning

Internal users are people who work within the organization and use accounting information for planning, controlling, and decision-making.

Examples of Internal Users

- Owner
- Management
- Employees

A. Owner (Proprietor)

Meaning The owner is the person who has invested capital in the business. The owner wants to know whether the business is making a profit and whether the investment is safe.

Need for Accounting Information The owner uses accounting information to:

- Measure profit or loss.
- Know the financial position.
- Decide whether to expand the business.
- Compare current performance with previous years.
- Determine the value of business assets.

> **Example:** Mr. Rahul starts a business by investing ₹20,00,000. After one year: Sales = ₹60,00,000 · Expenses = ₹48,00,000 · Profit = ₹12,00,000. The owner uses this information to decide whether to expand the business by opening another branch.

B. Management

Meaning Management includes managers and executives responsible for planning and controlling business operations.

Need for Accounting Information Management uses accounting information to:

- Prepare budgets.
- Control costs.

- Make pricing decisions.
- Plan future production.
- Evaluate departmental performance.
- Make investment decisions.

> **Example:** A manufacturing company finds that electricity expenses increased from ₹2 lakh to ₹5 lakh. Management investigates the reason and introduces energy-saving measures to reduce costs.

C. Employees

Meaning Employees are interested in the financial health of the company because it affects their salaries, bonuses, promotions, and job security.

Need for Accounting Information Employees use accounting information to:

- Assess job security.
- Negotiate salaries.
- Claim bonuses.
- Understand the company's financial strength.

> **Example:** A company earns a profit of ₹10 crore. Employees may request a performance bonus because the company has performed well.

🌐 2. External Users

Meaning

External users are individuals or organizations outside the business who use accounting information for various purposes.

Examples of External Users

- Investors
- Creditors
- Banks & Financial Institutions
- Government
- Customers
- Suppliers
- Researchers
- General Public

A. Investors (Shareholders)

Meaning Investors provide capital to the company and expect returns in the form of dividends and capital appreciation.

Need for Accounting Information Investors use accounting information to:

- Evaluate profitability.
- Assess future growth.
- Decide whether to buy or sell shares.
- Measure return on investment.

> **Example:** Company A earns a profit of ₹100 crore. Company B earns a loss of ₹20 crore. Most investors prefer investing in Company A because it is financially stronger.

B. Creditors

Meaning Creditors supply goods or services on credit.

Need for Accounting Information Creditors use accounting information to:

- Evaluate repayment capacity.
- Decide the credit period.
- Assess financial stability.

> **Example:** A supplier wants to provide goods worth ₹5 lakh on credit. Before giving credit, the supplier checks the company's Balance Sheet and finds that the company has enough current assets to repay the amount.

C. Banks and Financial Institutions

Meaning Banks and financial institutions provide loans to businesses.

Need for Accounting Information Banks use accounting information to:

- Evaluate loan repayment ability.
- Assess profitability.
- Determine the amount of loan.
- Decide the interest rate.

> **Example:** ABC Ltd. applies for a ₹50 lakh business loan. The bank studies: Profit and Loss Account · Balance Sheet · Cash Flow Statement. After confirming that the company has stable profits and sufficient assets, the bank approves the loan.

D. Government

Meaning Government departments use accounting information to regulate businesses and collect taxes.

Need for Accounting Information The government uses accounting information to:

- Calculate income tax.
- Assess GST liability.
- Ensure legal compliance.
- Prepare national economic statistics.

> **Example:** A company reports a taxable income of ₹80 lakh. The Income Tax Department calculates tax based on the financial statements submitted

by the company.

E. Customers

Meaning Customers are interested in the long-term stability of businesses, especially when they depend on them for products or services.

Need for Accounting Information Customers use accounting information to:

- Assess whether the company will continue operations.
- Ensure continuous supply of products.
- Evaluate reliability.

> **Example:** A large automobile company purchases tyres from a supplier. Before signing a five-year contract, it reviews the supplier's financial statements to ensure that the supplier is financially stable.

F. Suppliers

Meaning Suppliers provide raw materials and goods to businesses.

Need for Accounting Information Suppliers use accounting information to:

- Decide whether to supply goods on credit.
- Determine the credit limit.
- Evaluate financial stability.

> **Example:** A wholesaler supplies goods worth ₹3 lakh on credit after confirming that the retailer has a good financial position.

G. Researchers and Analysts

Meaning Researchers, economists, and financial analysts use accounting information for academic studies and market analysis.

Need for Accounting Information They use accounting information to:

- Conduct research.
- Compare industries.
- Study business performance.
- Prepare reports.

> **Example:** A researcher compares the profits of Tata Motors, Mahindra & Mahindra, and Maruti Suzuki to study trends in the Indian automobile industry.

H. General Public

Meaning The public is interested in the financial performance of large businesses because it affects employment, economic growth, and social development.

Need for Accounting Information The public uses accounting information to:

- Understand business growth.
- Assess employment opportunities.
- Evaluate corporate social responsibility (CSR).

- Analyze the company's contribution to the economy.

> **Example:** If a company announces a profit of ₹500 crore, people may expect it to expand operations, create new jobs, and invest more in community development.

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